THE BOX, WORKED THROUGH

# Your Oil Trade

## WTIUSD CRUDE OIL

1.00 lot = $1,000 per $1.00 move • 100:1

| ENTRY | VOLUME | MARGIN | STOP LOSS | TAKE PROFIT | R : R |
|---|---|---|---|---|---|
| 88.41 | 2.8 lots | $2,475 | 87.56 | 91.20 | 1 : 3.28 |

| RISK (1R) | SL MOVED TO ENTRY | CLOSED AT | RESULT ($) | RESULT (R) |
|---|---|---|---|---|
| $2,380<br>0.97% of free margin | YES | ____________ | ______________ | __________ |

## Where every number comes from

| | CALCULATION | RESULT | WHAT IT IS |
|---|---|---|---|
| Stop distance | 88.41 - 87.56 | **0.85** | How far price must go against you. |
| Target distance | 91.20 - 88.41 | **2.79** | How far it must go for you. |
| **Risk (1R)** | 0.85 x 2.8 x $1,000 | **$2,380** | What a stop-out costs. |
| **Reward at target** | 2.79 x 2.8 x $1,000 | **$7,812** | What the take profit pays. |
| **R : R** | 2.79 / 0.85 | **1 : 3.28** | Inside the 1:3 to 1:5 band. |
| Notional | 2.8 x 1,000 x 88.41 | $247,548 | The position's face value. |
| Margin at 100:1 | $247,548 / 100 | **$2,475** | Matches the $2,475 you quoted. |

The margin figure is the proof the rest is right: 2.8 lots of 1,000 barrels at 100:1 gives $2,475.48, which is what your platform shows. So the contract size and the leverage are confirmed, and every other number above follows from them.

## What each close price pays

| CLOSE PRICE | OUTCOME | R | PROFIT / LOSS |
|---|---|---|---|
| **91.20** | Take profit hit | **+3.28R** | **+$7,812** |
| **88.41** | Stop at entry - scratched | **+0.00R** | **$0** |
| **87.56** | Original stop hit | **-1.00R** | **-$2,380** |

FOR ANY OTHER CLOSE PRICE

**P/L = (close - 88.41) x 2.8 x $1,000**, which is $2,800 for every 1.00 the price moves, or $28 for every 0.01. Closed at 90.00 that is **+$4,452 (+1.87R)**. Because the stop is at entry, the worst case is now $0 rather than -$2,380 - minus spread and commission, which a scratched trade still pays.

ONE SHEET PER CYCLE

# The Five Boxes

Fill in entry, volume and both levels when you open. Write the price in SL MOVED TO ENTRY when you move the stop, and the close price when you are out. R:R must read at least 1:3 before the trade is taken.

## XAUUSD GOLD

1.00 lot = $100 per $1.00 move • 100:1

| ENTRY | VOLUME | MARGIN | STOP LOSS | TAKE PROFIT | R : R |
|---|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ | ________ |

| RISK (1R) | SL MOVED TO ENTRY | CLOSED AT | RESULT ($) | RESULT (R) |
|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ |

## WTIUSD CRUDE OIL

1.00 lot = $1,000 per $1.00 move • 100:1

| ENTRY | VOLUME | MARGIN | STOP LOSS | TAKE PROFIT | R : R |
|---|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ | ________ |

| RISK (1R) | SL MOVED TO ENTRY | CLOSED AT | RESULT ($) | RESULT (R) |
|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ |

## XAGUSD SILVER

1.00 lot = $5,000 per $1.00 move • 100:1

| ENTRY | VOLUME | MARGIN | STOP LOSS | TAKE PROFIT | R : R |
|---|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ | ________ |

| RISK (1R) | SL MOVED TO ENTRY | CLOSED AT | RESULT ($) | RESULT (R) |
|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ |

## BTCUSD BITCOIN

1.00 lot = $1 per $1.00 move • 5:1

| ENTRY | VOLUME | MARGIN | STOP LOSS | TAKE PROFIT | R : R |
|---|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ | ________ |

| RISK (1R) | SL MOVED TO ENTRY | CLOSED AT | RESULT ($) | RESULT (R) |
|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ |

## DJIUSD DOW 30

1.00 lot = $1 per 1.0 point • 100:1

| ENTRY | VOLUME | MARGIN | STOP LOSS | TAKE PROFIT | R : R |
|---|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ | ________ |

| RISK (1R) | SL MOVED TO ENTRY | CLOSED AT | RESULT ($) | RESULT (R) |
|---|---|---|---|---|
| ________ | ________ | ________ | ________ | ________ |

Cycle beginning ____ / ____ / ______   Free margin at open $______________   1R = 1% of that = $____________

CLOSING THE WEEK

# Cycle Total

| ASSET | CLOSED AT | OUTCOME (TP / SL / ENTRY) | RESULT (R) | PROFIT / LOSS |
|---|---|---|---|---|
| **XAUUSD** | | | | |
| **WTIUSD** | | | | |
| **XAGUSD** | | | | |
| **BTCUSD** | | | | |
| **DJIUSD** | | | | |
| **TOTAL** | | | | |

## Contract values - the only numbers you need to size

| ASSET | VALUE PER LOT | LEVERAGE | VOLUME FOR 1R |
|---|---|---|---|
| **XAUUSD** GOLD | $100 per $1.00 move, per 1.00 lot | **100:1** | volume = 1R / (stop distance x $100) |
| **WTIUSD** CRUDE OIL | $1,000 per $1.00 move, per 1.00 lot | **100:1** | volume = 1R / (stop distance x $1,000) |
| **XAGUSD** SILVER | $5,000 per $1.00 move, per 1.00 lot | **100:1** | volume = 1R / (stop distance x $5,000) |
| **BTCUSD** BITCOIN | $1 per $1.00 move, per 1.00 lot | **5:1** | volume = 1R / (stop distance x $1) |
| **DJIUSD** DOW 30 | $1 per 1.0 point, per 1.00 lot | **100:1** | volume = 1R / (stop distance x $1) |

Silver and the Dow vary most between brokers - check both against your platform once, the way the $2,475 margin confirmed oil.

## The account these boxes are sized from

| BALANCE | FREE MARGIN | USED MARGIN | MARGIN LEVEL | 1R = 1% OF FREE MARGIN |
|---|---|---|---|---|
| **$430,000** | **$245,000** | $185,000 | 232% | **$2,450** |

Used margin is what the balance and free margin imply, so it assumes no floating profit or loss. At a 232% margin level there is comfortable room; brokers force-close near 50%.

> THE OIL TRADE CHECKS OUT
>
> 1% of $245,000 is **$2,450**, which needs **2.882 lots** at a 0.85 stop. You traded **2.8**, so the risk was **$2,380 = 0.97%** of free margin - a rounded-down lot size, and correctly sized. Note how much smaller this basis is than the alternative: 1% of the $430,000 *balance* would be $4,300, a position 76% bigger. Sizing off free margin is the conservative choice of the two.

PRE-FILLED FOR $2,450

# Volume for 1R

**volume = $2,450 / (stop distance x value per lot)**. Two example stop distances per asset, with what the resulting position costs in margin. Round the lot size *down*, the way you did on oil - never up.

| ASSET | IF THE STOP IS | VOLUME | RISK | MARGIN IT USES | % OF FREE MARGIN |
|---|---|---|---|---|---|
| **XAUUSD** | $10.00 | **2.450** lots | $2,450 | $8,359 | **3.4%** |
| | $20.00 | **1.225** lots | $2,450 | $4,180 | **1.7%** |
| **WTIUSD** | $0.85 | **2.882** lots | $2,450 | $2,548 | **1.0%** |
| | $1.50 | **1.633** lots | $2,450 | $1,444 | **0.6%** |
| **XAGUSD** | $0.50 | **0.980** lots | $2,450 | $1,906 | **0.8%** |
| | $1.00 | **0.490** lots | $2,450 | $953 | **0.4%** |
| **BTCUSD** | $1,000 | **2.450** BTC | $2,450 | $45,276 | **18.5%** |
| | $2,000 | **1.225** BTC | $2,450 | $22,638 | **9.2%** |
| **DJIUSD** | 200 pts | **12.250** lots | $2,450 | $5,408 | **2.2%** |
| | 400 pts | **6.125** lots | $2,450 | $2,704 | **1.1%** |

Prices used for the margin column are indicative. Everything else is exact.

BITCOIN IS THE ONE TO WATCH ON THIS ACCOUNT

At 5:1, a bitcoin position risking the same $2,450 as gold uses **$45,276** of margin against gold's $8,359 - **18.5% of your free margin for one trade**, and 23% if the stop is $800. Gold, oil, silver and the Dow each take between 0.6% and 3.4%. If bitcoin is in the cycle, open it and see what free margin is left before sizing anything else.

FIX 1R ON MONDAY - DO NOT RECALCULATE IT PER TRADE

Free margin falls every time you open a position, so if you recompute 1% before each trade, each one is smaller than the last. Open all five in the order gold, oil, silver, bitcoin, Dow and 1R drifts from **$2,450 down to $1,922** by the fifth - the Dow ends up risking 22% less than gold did, for no reason other than being last in the queue. Worse, changing the order changes every position size. **Take free margin once at the start of the cycle, fix 1R at 1% of it, and use that same number on all five trades.**